

**PRICES****Fundamentals Point to Increasing Vegetable Oil Prices in 2026/27**

*In contrast, soya meal prices are forecast to decline on prospective large supplies*

The stage is set for a bullish price outlook for vegetable oils in the next 12 months. Prospects point to a global production deficit of 17 oils & fats as well as to inevitable demand rationing and higher prices. There are many supply & demand uncertainties, however, which will determine the extent of the global production deficit next season as well as the timing and magnitude of both the extent of the price appreciation as well as the degree of volatility. Geopolitical developments complicate the outlook.

Our 2026/27 forecast point to tightness developing for oils & fats worldwide and higher prices, rising dependence on seed oils and a resulting further sizable increase in oilseed crushings as well as ample supplies of oilmeals, resulting in deviating price trends.

Our estimates in respect to the prospective palm oil production shortfall are conservative. We have assumed yield reductions of only 5% in Indonesia and Thailand, and more moderate losses in Malaysia for calendar year 2027, but we are aware that a strong El Niño could result in greater damage, reducing palm and lauric oil production - with a time lag - from mid-2027 onward. In respect to oilseed production, we have assumed generally favourable weather in the key countries and comparatively high yields in 2026/27.

Palm oil is likely to be the price leader upward in July/June 2026/27 due to 1) a prospective decline in production, 2) rising domestic palm oil consumption in the producing countries (biodiesel) and 3) an even sharper reduction of palm oil exports.

Consumers in India and other price-sensitive markets will switch a larger share of their imports to soya and sun oils whenever palm oil is commanding price premiums. These demand shifts will raise exports of soya oil and sun oil and trigger higher prices which will close the price gap to palm oil.

For July/June 2026/27 we expect fob export prices of Malaysian palm olein to trade very close to Argentine soya oil. Our tentative estimate for palm olein is US-\$ 1220 for the average of July/Dec 2026 for nearest forward shipment and US-\$ 1310 for Jan/June 2027. Global palm oil supplies will become progressively tighter during the next 12 months. Soya oil will follow

upward due to rising import requirements.

Sun oil prices have already weakened in the new-crop positions. After trading at wide premiums over soya oil and rapeseed oil throughout most of the 2025/26 season, prices are seen declining and probably command price discounts relative to soya oil at the end of 2026 as well as in early 2027.

Lauric oil prices have come under pressure during May and June. On June 17, palmkernel oil and coconut oil were quoted at US-\$ 1830 and 1875 for nearest forward shipment in Rotterdam, compared with US-\$ 2087 and 2582 in Sept 2025. We expect lauric oil prices to make their low sometime in the July/Sept 2026 quarter and start appreciating due to deteriorated production prospects for next year.

The global vegetable oil market will be torn between booming demand from the biofuel sector and supply woes. World production of 17 oils & fats will probably increase by only 1.4% from a year earlier in Oct/Sept 2026/27, the lowest in 5 years.

Vegetable oil demand for food has weakened recently. A continuation of this trend, probably fuelled by higher prices, would moderate the prospective tightness. On the other hand, rising biofuel targets will continue to raise feedstock requirements in 2026/27, primarily in the USA and Indonesia. It remains to be seen whether biofuel mandates are either not fulfilled or temporarily reduced, if prices of palm oil, soya oil, rapeseed oil and other oils & fats increase sharply.

Prices of soya meal and other oilseed meals are expected to come under pressure in 2026/27. Contrary to the looming global production deficit of oils & fats, world supplies of oilmeals are anticipated to remain ample in 2026/27, on the assumption of about normal weather conditions in the major producing regions.

With soybean crushings driven by rising oil demand, world production of soya meal is seen approaching 300 Mn T next season, representing an unprecedented increase of 50 Mn T within 4 years. We assume that disposing of the additional volumes next season will require price concessions. Argentine fob export prices of soya pellets are forecast at a multi-year low of US-\$ 315 for the average of Jan/June 2027. tmie

**PRICE FORECASTS & Past Prices for the Leading Commodities - in US-\$ per Tonne**

|                                      | January / June |      |      | July / December |      |      | J u l y / |      | J u n e |       |       |       |
|--------------------------------------|----------------|------|------|-----------------|------|------|-----------|------|---------|-------|-------|-------|
|                                      | 2027F          | 2026 | 2025 | 2026F           | 2025 | 2024 | 26/27F    | +/-% | 25/26   | 24/25 | 23/24 | 22/23 |
| Soybeans, US cif R'dam . . . . .     | 480*           | 484  | 444  | 470*            | 452  | 438  | 475*      | +2%  | 468     | 461   | 525   | 607   |
| Soya oil, Dutch, fob ex-mill . . . . | 1450*          | 1313 | 1180 | 1345*           | 1278 | 1110 | 1398*     | +8%  | 1296    | 1212  | 1055  | 1351  |
| Soya oil, Arg. fob . . . . .         | 1320*          | 1172 | 1024 | 1230*           | 1104 | 1002 | 1275*     | +12% | 1138    | 1087  | 922   | 1169  |
| Soyapell. 47%, Arg. fob . . . . .    | 315*           | 346  | 323  | 325*            | 317  | 360  | 320*      | -4%  | 332     | 353   | 453   | 511   |
| Soyapell, 48%, Arg., Rott . . . . .  | 375*           | 413  | 369  | 395*            | 366  | 409  | 385*      | -1%  | 390     | 411   | 493   | 556   |
| Sun oil, EU fob N.W.Eur. . . . .     | 1380*          | 1483 | 1217 | 1400*           | 1322 | 1147 | 1390*     | -1%  | 1402    | 1315  | 966   | 1222  |
| Rapeseed, Europe, cif Hmb . . . .    | 620*           | 592  | 554  | 600*            | 549  | 532  | 610*      | +7%  | 571     | 562   | 478   | 575   |
| Rape oil, Dutch, fob ex-mill . . . . | 1440*          | 1349 | 1186 | 1420*           | 1247 | 1114 | 1430*     | +10% | 1298    | 1231  | 1020  | 1242  |
| Rape meal, fob ex-mill Hmb . . . .   | 255*           | 287  | 311  | 239*            | 234  | 297  | 247*      | -5%  | 261     | 292   | 316   | 355   |
| Palm olein RBD, Mal. fob . . . . .   | 1310*          | 1144 | 1046 | 1220*           | 1058 | 1053 | 1265*     | +15% | 1101    | 1099  | 873   | 951   |
| Palmkern oil, Mal/Indo., cif Rott.   | 2000*          | 2035 | 1835 | 1820*           | 1897 | 1635 | 1910*     | -3%  | 1966    | 1835  | 1043  | 1073  |
| Coconut oil, Phil/Indo., cif Rott.   | 2100*          | 2184 | 2384 | 1900*           | 2560 | 1732 | 2000*     | -16% | 2372    | 1958  | 1191  | 1163  |

## 10 OILSEEDS

### Another Above-Average Increase in World Oilseed Crashings Likely to Be Required in 2026/27

*If forecasts of declining world palm oil supplies materialize, global dependence on seed oils will rise further*

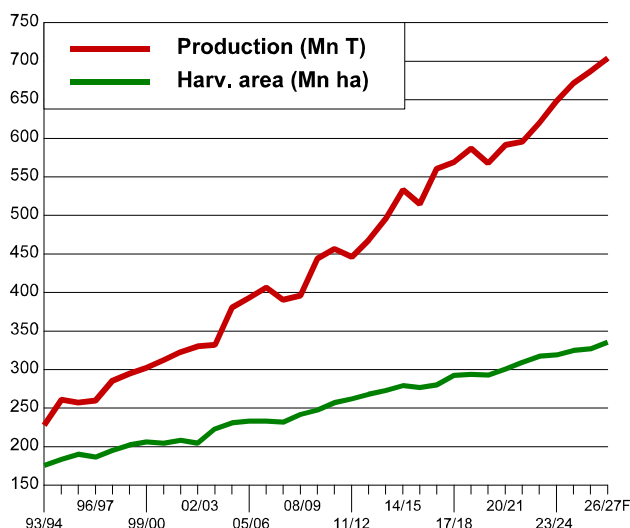
Another above-average increase in oilseed disposals is anticipated to materialize in 2026/27 with world production of palm oil set to decline. Consumers worldwide will become more dependent on seed oils, particularly if combined world production of biodiesel, HVO and SAF continues to rise.

We estimate world consumption of 10 oilseeds to increase further by 16.5 Mn T to 702.9 Mn T in the world crop season 2026/27 on top of the significant growth registered in the preceding three seasons. The combined increase from 2022/23 to 2026/27 is 93.7 Mn T, equivalent to an annual growth of 23.4 Mn T which compares to 14.6 Mn T in the 10 years up to 2022/23. The accelerating demand growth has been mainly on account of soybeans. Most of the oilseed consumption represents crashings into oil and meal, but it also includes oilseed processing for food, seed requirements and other uses.

2026/27 oilseed plantings will be expanded at the expense of grains. Farmers are responding to the more remunerative prices offered for soybeans, rapeseed and sunflowerseed relative to wheat and other grain crops and pulses. The recent high prices of fertilizers have also contributed to the shift towards oilseeds which require much less inputs than corn and wheat.

We estimate the harvested area of 10 oilseeds to increase by as much as 8.8 Mn ha on the year to 335.7 Mn ha in 2026/27. The area under soybeans is estimated to rise by 4.6 Mn ha, of sunflowers by 1.5 and of rapeseed & canola by 1.65 Mn ha.

#### 10 Oilseeds: World Area and Production



The biggest increases in the oilseed area will occur in the USA (up almost 2.0 Mn ha), Brazil (up 1.3 Mn ha), India (up 0.8), Russia (up 0.6 Mn ha) and Canada (0.5 Mn ha). As against this, the oil palm area in Malaysia continues to shrink and increases only slightly in Indonesia.

World production of 10 oilseeds is estimated to continue rising sizably in 2026/27 on the back of a record cultivated area. At this time of the year, any production estimates can only be tentative. With spring plantings just completed in many northern-hemisphere countries and partly still ongoing in others as well as South American plantings of most crops starting only in Oct or Nov, there are many uncertainties and swing factors to watch. South American farmers can adjust their planting decisions according to the weather and crop developments in the northern hemisphere as well as to the price developments in June/Sept this year.

We currently peg world production of 10 oilseeds at 703.9 Mn T for 2026/27, 16.8 Mn T above last season. If achieved, it would slightly exceed projected consumption of oilseeds and result in a further slight increase in stocks at the end of the season. However, the stocks/usage ratio would decline moderately in the second consecutive year for all oilseeds as well as for soybeans.

The biggest production increase of around 12.0 Mn T is projected for soybeans, mainly on account of the USA, Brazil, Argentina and India.

El Niño conditions continued to develop during May and are expected to strengthen in July and August. According to the US National Weather Service, there is a "63% chance of a very strong El Niño during Nov/Jan 2026/27

#### 10 OILSEEDS : World Supply and Demand ( Mn T )

|                                 | Forecast<br>2026/27F | Change<br>to 25/26 | 25/26         | 24/25        | 23/24        |
|---------------------------------|----------------------|--------------------|---------------|--------------|--------------|
| <b>Opening stocks</b>           | <b>146.0*</b>        | <b>+0.6</b>        | <b>145.4</b>  | <b>136.0</b> | <b>126.8</b> |
| <b>Production</b> . . . . .     | <b>703.9*</b>        | <b>+16.8</b>       | <b>687.1*</b> | <b>671.8</b> | <b>648.5</b> |
| thereof Soybeans . . . . .      | 441.2*               | +12.0              | 429.2*        | 425.4        | 395.8        |
| Sunseed . . . . .               | 63.3*                | +5.8               | 57.5*         | 55.5         | 59.6         |
| Rapeseed . . . . .              | 86.1*                | +0.3               | 85.8*         | 76.5         | 80.4         |
| Cottonseed . . . . .            | 40.6*                | -0.9               | 41.5*         | 41.7         | 41.2         |
| Groundnuts (b) . . . . .        | 37.0*                | +0.2               | 36.8*         | 37.4         | 35.6         |
| Palmkern & Copra . . . . .      | 24.3*                | -0.5               | 24.8*         | 24.2         | 24.8         |
| Sesame, Lin & Castor . . . . .  | 11.5*                | -0.1               | 11.6*         | 11.0         | 11.0         |
| <b>Total supplies</b> . . . . . | <b>850.0*</b>        | <b>+17.6</b>       | <b>832.4*</b> | <b>807.8</b> | <b>775.3</b> |
| <b>Disappearance</b> . . . . .  | <b>702.9*</b>        | <b>+16.5</b>       | <b>686.4*</b> | <b>662.4</b> | <b>639.2</b> |
| thereof Soybeans . . . . .      | 440.6*               | +11.3              | 429.3*        | 413.5        | 383.8        |
| Sunseed . . . . .               | 62.2*                | +4.5               | 57.7*         | 55.8         | 61.4         |
| Rapeseed . . . . .              | 86.8*                | +2.7               | 84.1*         | 80.3         | 80.4         |
| <b>Ending stocks</b> . . . . .  | <b>147.1*</b>        | <b>+1.1</b>        | <b>146.0*</b> | <b>145.4</b> | <b>136.0</b> |
| thereof Soybeans . . . . .      | 123.3*               | +0.6               | 122.7*        | 122.8        | 110.9        |
| Sunseed . . . . .               | 5.5*                 | +1.1               | 4.4*          | 4.6          | 4.8          |
| Rapeseed . . . . .              | 12.9*                | -0.2               | 13.1*         | 12.6         | 15.5         |
| <b>Stocks/usage (a)</b>         | <b>20.9%</b>         |                    | <b>21.3%</b>  | <b>21.9%</b> | <b>21.3%</b> |
| thereof Soybeans                | 28.0%                |                    | 28.6%         | 29.7%        | 28.9%        |

(a) Stocks in % of annual disappearance. (b) Shelled basis.

that would rank among the largest El Niño events in the historical record going back to 1950". It remains to be seen to what extent specific agricultural regions in Australia, southern Africa as well as in Southeast Asia (the Philippines, Indonesia, Malaysia, Thailand and other countries) will be affected. No doubt, the prospective strong El Niño could have major impacts on the production of oilseeds as well as on palm and lauric oils, but with different time lags.

### OILSEED CRUSH & PRODUCT OUTPUT

Crushings of soybeans, sunflowerseed and rapeseed will continue to rise sharply in 2026/27. The major driver will continue to be world demand of vegetable oils reflecting the repercussions from the prospective tightness in palm oil and lauric oils. We estimate soybean, sunflowerseed and rapeseed crushings to increase by 10.3, 4.1 and 2.2 Mn T from a year earlier in Oct/Sept 2026/27, while crushings of the other 7 oilseeds combined are set to decline by 0.6 Mn T, with reductions in cottonseed, groundnuts and palmkernels and only marginal increases in linseed, sesameseed and copra.

World oilseed crushings are projected to approach 596 Mn T, thus showing an above-average increase for the fifth consecutive year.

It is considered likely that continuing growth of seed oil demand will remain the main driver for a further expansion in oilseed crushings. There will continue to be considerable growth in oilseed crushings in the USA and Canada following the crush capacity expansions of the past two years. We also anticipate significant increases in soybean crushings in Brazil & Argentina as well as in sunflowerseed and rapeseed in Russia, plus a recovery in Ukraine and further growth in China, India and other countries.

### 10 OILSEEDS: World Crushings & Product Output

| ( Mn T )            |                | October/September |               |               |  |
|---------------------|----------------|-------------------|---------------|---------------|--|
| <u>Crushings</u>    | <u>26/27F</u>  | <u>25/26</u>      | <u>24/25</u>  | <u>23/24</u>  |  |
| Soybeans. ....      | 382.60*        | 372.34*           | 361.14        | 333.59        |  |
| Cottonseed. ....    | 30.10*         | 30.43*            | 30.74         | 31.14         |  |
| Grdnuts, shelled .. | 11.80*         | 11.91*            | 11.98         | 11.09         |  |
| Sunflowerseed       | 56.40*         | 52.33*            | 49.91         | 55.70         |  |
| Rapeseed. ....      | 83.70*         | 81.49*            | 78.15         | 78.29         |  |
| Sesameseed. ....    | 2.16*          | 2.08*             | 2.07          | 2.01          |  |
| Palmkernels. ....   | 19.34*         | 19.69*            | 19.09         | 18.57         |  |
| Copra. ....         | 4.90*          | 4.86*             | 4.55          | 5.22          |  |
| Linseed. ....       | 3.02*          | 2.89*             | 2.55          | 2.57          |  |
| Castorseed. ....    | 1.95*          | 2.00*             | 1.98          | 2.07          |  |
| <b>Total. ....</b>  | <b>595.97*</b> | <b>580.02*</b>    | <b>562.16</b> | <b>540.25</b> |  |
| Change. ....        | +2.7%          | +3.2%             | +4.1%         | +4.9%         |  |

#### Production of 11 Oils

| <b>10 Seed oils</b>        | <b>154.13*</b> | <b>149.53*</b> | <b>144.60</b> | <b>141.96</b> |
|----------------------------|----------------|----------------|---------------|---------------|
| Change. ....               | +3.1%          | +3.4%          | +1.9%         | +5.2%         |
| <b>Palm oil. ....</b>      | <b>84.48*</b>  | <b>85.82*</b>  | <b>83.70</b>  | <b>80.54</b>  |
| Change. ....               | -1.6%          | +2.5%          | +3.9%         | -1.6%         |
| <b>Total 11 Oils. ....</b> | <b>238.61*</b> | <b>235.35*</b> | <b>228.30</b> | <b>222.51</b> |
| Change. ....               | +1.4%          | +3.1%          | +2.6%         | +2.6%         |

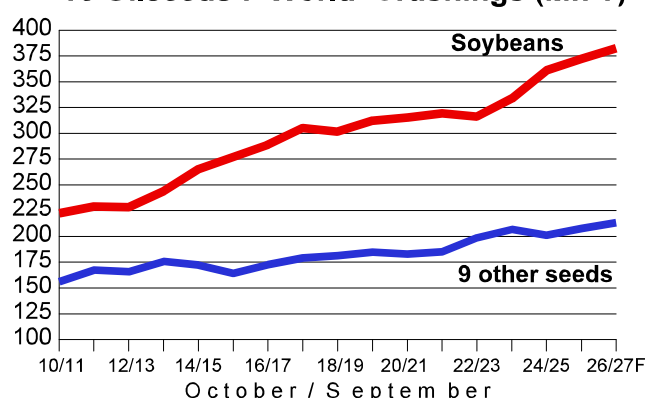
#### Production of 10 Meals

| <b>9 Oilseed Meals</b>      | <b>413.88*</b> | <b>403.52*</b> | <b>391.18</b> | <b>371.49</b> |
|-----------------------------|----------------|----------------|---------------|---------------|
| Change. ....                | +2.6%          | +3.2%          | +5.3%         | +4.6%         |
| <b>Fish meal. ....</b>      | <b>5.22*</b>   | <b>4.99*</b>   | <b>5.42</b>   | <b>5.28</b>   |
| Change. ....                | +4.6%          | -8.0%          | +2.8%         | +5.9%         |
| <b>Total 10 Meals. ....</b> | <b>419.10*</b> | <b>408.51*</b> | <b>396.61</b> | <b>376.76</b> |
| Change. ....                | +2.6%          | +3.0%          | +5.3%         | +4.6%         |

Production of 10 seed oils is estimated to rise sizably by 4.6 Mn T in Oct/Sept 2026/27, almost matching the estimated increase of 4.9 Mn T in the current season. But with world palm oil production seen declining, combined world production of seed and palm oils is currently forecast to rise by only 3.3 Mn T or 1.4% next season. Such a below-average growth points to tightening global supply & demand balances and will require demand rationing in the biofuel and/or the food sectors.

World production of 10 oilmeals will continue to rise sizably in the fourth consecutive year. The market must generate demand for an additional 10.6 Mn T of oilmeals on top of the huge volume disposed of in 2025/26, as we discuss in the meal chapter.

### 10 Oilseeds : World Crushings (Mn T)



### SOYBEANS

Current prospects point to another significant increase in soybean crushings worldwide for the fourth consecutive year. Our current assumption is for an increase of about 10 Mn T on top of the substantial increases in the three preceding years. In our preliminary forecast we expect soybean crushings to rise by 2.5 Mn T in the USA in Sept/Aug 2026/27 on top of the outstanding increase of roughly 5.5 Mn T in 2025/26. A sizable increase of a combined 4.7 Mn T is forecast to occur in Brazil, Argentina and Paraguay.

In China, we assume some additional expansion in soybean crushings next season although it is uncertain whether the weakening demand from the pork sector can be compensated by expanding demand in the poultry sector. But there is excess soybean crush capacity in China and we consider it possible that some processors in coastal areas will put on soybean crush and export soya oil and meal to neighbouring countries, particularly if crush margins remain favourable.

In the European Union soybean crushings are seen declining to probably 14.4 Mn T or less in Sept/Aug 2026/27, a 3-year low, assuming that switch capacities are largely employed with processing the larger EU crops of rapeseed and sunflowerseed.

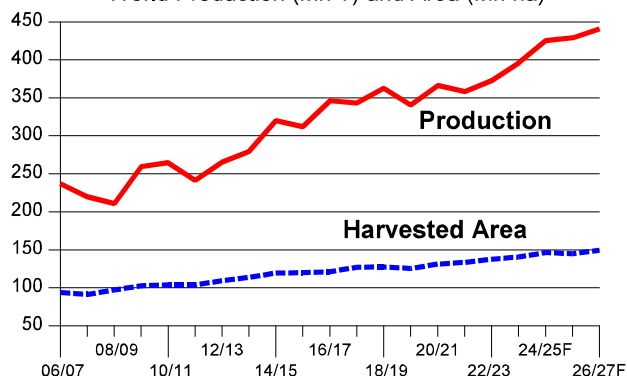
World soybean production is forecast at 441.2 Mn T for next season, 12.0 Mn T on top of the record 429.2 Mn T established in 2025/26. This estimate can only be tentative at this time of the year due to the weather uncertainties going forward. Also, plantings of the South American crops will only start at the end of September and, in the case of Argentina, will not be completed before December.

The US soybean crop has so far developed under generally favourable weather conditions. We assume

that actual plantings were approximately 0.5 Mn ha above the intentions of 34.3 Mn ha and thus almost 2.0 Mn ha above a year earlier. If required rains arrive in July and August (with August the most important month for final yields), this year's US soybean crop will probably recover to around 121.0 Mn T, up 5.0 Mn T from last year and close to the record 121.5 Mn T established in 2021.

## SOYBEANS

World Production (Mn T) and Area (Mn ha)



The growth potential of South American soybean production is much bigger. We expect another pronounced increase in early 2027, although there are indications that the growth in soybean plantings in Brazil will now slow from preceding years. We peg the Brazilian crop at 184 Mn T in early 2027.

### SOYBEANS : World Supply and Demand (Mn T)

|                           | 26/27F         | 25/26          | 24/25         | 23/24         |
|---------------------------|----------------|----------------|---------------|---------------|
| <b>Opening stocks</b>     | <b>122.71*</b> | <b>121.81</b>  | <b>110.85</b> | <b>98.91</b>  |
| <b>Production</b>         | <b>441.18*</b> | <b>429.21*</b> | <b>425.44</b> | <b>395.78</b> |
| <b>N. Hemisphere</b>      | <b>183.96*</b> | <b>177.65*</b> | <b>182.14</b> | <b>173.15</b> |
| EU-27 .....               | 2.88*          | 2.89           | 2.94          | 2.86          |
| Russia .....              | 8.60*          | 8.96           | 7.06          | 6.82          |
| Ukraine .....             | 5.63*          | 5.50*          | 7.00*         | 5.51*         |
| Canada .....              | 7.32*          | 7.00*          | 7.61          | 7.04          |
| U.S.A. ....               | 121.00*        | 115.99         | 119.05        | 113.27        |
| China, P.R. ....          | 21.20*         | 21.00*         | 20.46         | 19.80*        |
| India. ....               | 10.20*         | 9.20*          | 11.10*        | 10.40*        |
| <b>S. Hemisphere</b>      | <b>257.22*</b> | <b>251.56*</b> | <b>243.30</b> | <b>222.63</b> |
| Argentina .....           | 51.50*         | 50.00*         | 50.50*        | 48.70*        |
| Brazil .....              | 184.00*        | 180.80*        | 172.00*       | 154.60*       |
| Paraguay .....            | 11.50*         | 11.80*         | 10.07*        | 10.52*        |
| <b>Total supply</b>       | <b>563.89*</b> | <b>552.02*</b> | <b>536.29</b> | <b>494.69</b> |
| <b>Crush (Sept/Aug) .</b> | <b>382.00*</b> | <b>372.33*</b> | <b>358.47</b> | <b>330.84</b> |
| <b>Other use .....</b>    | <b>58.59*</b>  | <b>56.98*</b>  | <b>55.01</b>  | <b>53.00</b>  |
| <b>Ending stocks</b>      | <b>123.30*</b> | <b>122.71*</b> | <b>122.81</b> | <b>110.85</b> |
| U.S.A. Aug 31             | 10.40*         | 8.90*          | 8.84          | 9.32          |
| Argentina Aug 31          | 32.50*         | 32.51*         | 33.00*        | 30.96*        |
| Brazil Aug 31             | 53.00*         | 52.54*         | 48.59*        | 39.28*        |
| <b>Stocks/usage</b>       | <b>28.0%</b>   | <b>28.6%</b>   | <b>29.7%</b>  | <b>28.9%</b>  |

For Argentina, however, the area under soybeans is likely to recover by 0.5-0.7 Mn ha, which, if achieved, should result in rising production on the assumption of about normal weather conditions. It should be noted,

however, that about one third of the soybean area is doubled cropped after wheat with quicker-maturing but lower-yielding varieties. This explains that the average soybean yield in Argentina is considerably trailing what Brazilian and US farmers are able to obtain.

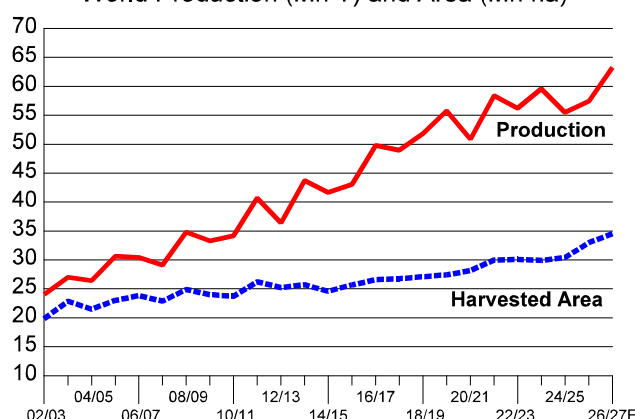
Brazil has increased its dominance as the biggest producer and exporter of soybeans. Instead, the USA has lost market share, reflected in a sharp decline in exports. Combined production of Brazil, Argentina and Paraguay is forecast at 247 Mn T for early 2027, reflecting an increase of 70 Mn T withing five years, i.e. from 177 Mn T in early 2022. In the same period US soybean production fluctuated between 113 and 122 Mn T.

## SUNFLOWERSEED

World production of sunflowerseed is anticipated to increase sharply in the world crop season 2026/27. In many countries farmers have preferred sunflowerseed over other crops due to the comparatively high prices prevailing in preceding months and the lower fertilizer requirements and thus lower production costs compared to grains.

## SUNFLOWERSEED

World Production (Mn T) and Area (Mn ha)



Our tentative production estimate is 63.3 Mn T worldwide compared with 57.5 in 2025/26 and the average of 56.2 Mn T in the five years up to 2024/25.

This assumes about normal weather conditions and a recovery in yields, primarily in the Black Sea region where drought and heat caused significant damage last year.

The harvested area worldwide is expected to increase to 34.5 Mn ha from 33.0 last year and 30.4 Mn ha in 2024/25. This is an unusual increase by 4.1 Mn ha within two years, occurring mainly in Russia and Argentina, viz. by 1.7 and 0.6 Mn ha, respectively, but noticeable expansions have taken place in the European Union, Ukraine, the USA and Türkiye.

Sunflowerseed plantings started with a delay this spring in Russia and Ukraine, which will, most likely, also delay the start of harvesting in September and the seasonal recovery in processing. With old-crop carry-over stocks probably relatively small, the seasonal increase in sunflower oil and meal exports may also be slightly delayed. This may complicate the transition from the tight old-crop situation to the new crop, particularly for those consumers who have reduced their physical stocks waiting for the lower-priced new-crop supplies.

Soil moisture supplies are currently much better than during the past three years in most of the Black Sea region. We estimate sunflowerseed production in Russia, including the occupied Ukrainian territories, to reach a record 20.2 Mn T in 2026/27 (compared with 17.9 Mn T a year earlier) on the back of a harvested area of 11.9 Mn ha (against 11.2 Mn ha). Farmers continued to sizably expand the area under sunflowers at the expense of grains. Such a crop would facilitate a significant increase in sunflowerseed crushings in Russia, probably reaching 18.7 Mn T or more. Prospects are favourable for world import demand of sunflower oil, considering the prospective shortfall in world export supplies of palm oil in the 2026/27 season.

#### RUSSIA : Sunflowerseed Supply & Demand ( Mn T )

|                  | September / August |        |        |        |        |
|------------------|--------------------|--------|--------|--------|--------|
|                  | 26/27F             | 25/26  | 24/25  | 23/24  | 22/23  |
| Op. stocks . . . | .53*               | .92*   | 1.39*  | 1.95*  | 1.31*  |
| Crop (a) . . . . | 20.20*             | 17.90* | 17.50* | 18.60* | 17.10* |
| Imports . . . .  | .07*               | .07*   | .08*   | .06*   | .08*   |
| Exports . . . .  | .24*               | .22*   | .24*   | .35*   | .26*   |
| Crushings . .    | 18.70*             | 17.50* | 17.17* | 18.24* | 15.68* |
| Other use. . .   | .76*               | .64*   | .64*   | .64*   | .60*   |
| End. stocks .    | 1.10*              | .53*   | .92*   | 1.39*  | 1.95*  |

(a) Occupied regions in Ukraine are included since 2022.

Sunflowerseed crushings in Ukraine could rebound to a 3-year high of 12.6 Mn T in 2026/27 compared to the low of about 10.9 Mn T estimated to be processed in Sept/Aug 2025/26. This is on the assumption that weather conditions remain largely favourable and that harvesting can be done with limited losses, despite the ongoing war. We assume the average yield to recover to 2.2 T/ha from last year's drought-reduced 1.9 tonnes, but this is still below the average 2.36 T/ha in the five years ended 2024. Key export destinations for sun oil are the European Union, Türkiye, China and India.

#### UKRAINE : Sunseed Supply & Demand ( Mn T )

|                  | September / August |        |        |        |        |
|------------------|--------------------|--------|--------|--------|--------|
|                  | 26/27F             | 25/26  | 24/25  | 23/24  | 22/23  |
| Op. stocks . . . | .26*               | .37*   | .32*   | .64*   | 3.18*  |
| Crop. . . . .    | 13.00*             | 10.93* | 12.10* | 15.10* | 12.68* |
| Imports . . . .  | .02*               | .07*   | .02    | .02    | .03    |
| Exports . . . .  | .09*               | .04*   | .07    | .31    | 1.86   |
| Crushings . .    | 12.60*             | 10.93* | 11.86* | 14.96* | 13.24* |
| Other use. . .   | .16*               | .14*   | .14*   | .17*   | .15*   |
| End Stocks . .   | .43*               | .26*   | .37*   | .32*   | .64*   |

Combined sunflowerseed production in the European Union is estimated to recover by 1.2 Mn T from a year earlier to 9.8 Mn T next season, the second highest on record. This is on the basis of a 300 Thd ha expansion in the area and a recovery in the average yield by 6%. Production in Romania is estimated to recover to 2.2-2.3 Mn T from 1.95 Mn T in 2025/26.

In Hungary, sunflowerseed plantings were increased by close to 12% to 810 Thd ha. Weather conditions are reportedly mixed, with some parts of the country growing a record crop while other areas are in need of rainfall in coming weeks. We expect the crop to rise by 15% to 2.0 Mn T. Production in Bulgaria and France is anticipated to recover sizably to 1.93 and 1.58 Mn T. A larger crop is also expected in Spain.

World crushings of sunflowerseed are tentatively projected to rise by a massive 4.2 Mn T to 56.3 Mn T in Sept/Aug 2026/27. This is a new high, driven mainly by rising world import requirements of sunflower oil, caused by insufficient export supplies of other edible oils.

Sunflowerseed stocks are forecast to recover to 5.5 Mn T at the end of this season, mainly in Russia, the European Union and Argentina.

#### SUNSEED : World Supply & Demand ( Mn T )

|                       | 26/27F | 25/26  | 24/25  | 23/24  |
|-----------------------|--------|--------|--------|--------|
| Open'g stocks . . .   | 4.40*  | 4.60   | 4.82   | 6.56   |
| Production . . . . .  | 63.31* | 57.46* | 55.54  | 59.63  |
| EU-27 . . . . .       | 9.83*  | 8.68   | 8.73   | 9.95   |
| Kazakhstan . . . . .  | 2.30*  | 2.32*  | 1.83   | 1.24   |
| Russia (a) . . . . .  | 20.20* | 17.90* | 17.50* | 18.60* |
| Ukraine . . . . .     | 13.00* | 10.93* | 12.10* | 15.10* |
| U.S.A. . . . .        | 1.10*  | 1.05   | .52    | 1.02   |
| Argentina . . . . .   | 6.10*  | 6.50*  | 5.20*  | 3.84*  |
| Türkiye. . . . .      | 1.62*  | 1.05*  | 1.25*  | 1.28*  |
| Total supplies . . .  | 67.71* | 62.06* | 60.36  | 66.19  |
| Crush (Sept/Aug) . .  | 56.27* | 52.03* | 50.23  | 55.75  |
| Other use . . . . .   | 5.94*  | 5.63*  | 5.53   | 5.62   |
| End'g stocks . . . .  | 5.50*  | 4.40*  | 4.60   | 4.82   |
| EU-27 (July 31) . . . | 1.08*  | .92*   | .93    | 1.18   |
| Russia (Aug 31) . . . | 1.10*  | .53*   | .92*   | 1.39*  |
| Ukraine (Aug 31) . .  | .43*   | .26*   | .37*   | .32*   |
| Argentina (Sep 30)    | 1.70*  | 1.56*  | 1.59*  | 1.02*  |
| Other countries . . . | 1.19*  | 1.13*  | .79*   | .91*   |
| Stocks/usage . . . .  | 8.8%   | 7.6%   | 8.2%   | 7.9%   |

(a) Occupied regions in Ukraine included since 2022.

#### RAPESEED & CANOLA

Rapeseed crushers in North America and Europe are likely to utilize the existing capacity to a maximum in 2026/27. The looming production deficit of oils & fats, which is likely to keep vegetable oil prices elevated, as well as prospective record world supplies of rapeseed & canola have set the stage for a further sizeable increase in processing next season. This is primarily true for North America, where additional canola crush capacity is now available in Canada, coinciding with soaring US vegetable oil requirements.

Relatively high returns per hectare have prompted farmers worldwide to step up rapeseed plantings for the 2026/27 crop, primarily at the expense of grains. We tentatively peg the global harvested area of rapeseed & canola at a new high of 42.3 Mn ha next season, up 1.6-1.7 Mn ha from a year earlier and 10 Mn ha or 32% above 2019/20. The by far biggest increase is shaping up in Canada (up 0.5 Mn ha), followed by the EU-27 (+0.3 Mn ha), Australia and the US (each +0.2 Mn ha).

We expect the average yield to decline by at least 3-5% from last year's unusually high level. While rapeseed crops in Europe, Ukraine and Russia are already entering the final stages of development, farmers in Australia and Canada (accounting for 74% of world trade in 2025) just completed plantings.

In Canada, unusually cold and wet conditions

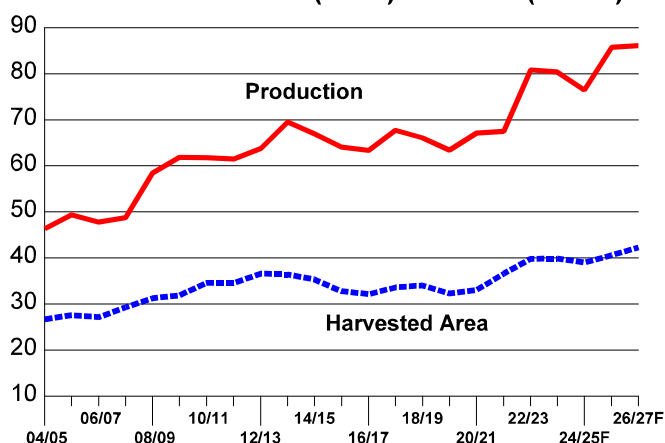
delayed spring plantings by at least 2 weeks, potentially exposing the crop to early frost in late September or early October. Moisture supplies across the Prairies are currently ample, boding well for emerging crops. While we do not expect that last year's record Canadian canola yield of 2.51 T/ha will be repeated, our estimate of 2.33 T/ha is still above trend.

Taking the increase in the Canadian canola area to a new high of 9.2 Mn ha into account, we tentatively peg the crop at 21.5 Mn T this year (vs. 21.8 Mn T harvested in 2025).

In Australia, partly severe dryness has apparently prevented farmers in New South Wales from completing plantings in time. We still expect a further increase in the Australian canola area of 0.2-0.3 Mn ha, primarily due to acreage shifts from grains. Weather in the next 3-4 months will be a major factor to watch. Latest weather models indicate below-average rainfall and above-average temperatures, curbing the yield potential of grain and oilseed crops. We currently expect average canola yields to decline by 15% from a year earlier, reducing the Australian crop to or below 6.9 Mn T in 2026/27 (vs. 7.7 Mn T last year). But a smaller crop cannot be precluded, depending on the extent of the expected weather anomalies.

## RAPESEED & CANOLA

World Production (Mn T) and Area (Mn ha)



World production of rapeseed & canola is forecast to reach a new high of 86.1 Mn T in 2026/27, implying a slowdown of the year-on-year growth to 0.3 Mn T compared to an increase of 9.3 Mn T a year earlier. However, larger stocks at the beginning of the season will raise world supplies by 0.9 Mn T on the year.

EU-27: Large winter rapeseed plantings are likely to more than offset the anticipated setback in the average yields this season. We forecast EU rapeseed production to increase by 0.3-0.4 Mn T to a new high of 20.9 Mn T in 2026.

However, competition for the reduced world export supplies is seen increasing in July/June 2026/27, potentially reducing EU imports of rapeseed & canola to 6.5-6.6 Mn T, down sharply from 7.0 Mn T and 8.2 Mn T in the preceding two seasons. EU imports from Ukraine (where export taxes are likely to again favour domestic processing) are likely to stagnate or at best marginally increase to 1.8 Mn T in July/June 2026/27. This is already assuming that the EU will again account for more than 90% of total Ukrainian rapeseed exports next season.

### EU - 27 : Rapeseed Supply & Demand ( Mn T )

|                         | July / June   |              |              |              |              |
|-------------------------|---------------|--------------|--------------|--------------|--------------|
|                         | 26/27F        | 25/26        | 24/25        | 23/24        | 22/23        |
| Opening stocks . .      | 1.35*         | 1.01         | 1.63         | 1.99         | .89          |
| <b>Output . . . . .</b> | <b>20.88*</b> | <b>20.51</b> | <b>17.19</b> | <b>20.16</b> | <b>19.69</b> |
| thereof: France . .     | 4.69*         | 4.63         | 3.94         | 4.28         | 4.59*        |
| Germany . . . . .       | 4.17*         | 3.98         | 3.63         | 4.22         | 4.29         |
| Poland . . . . .        | 3.62*         | 3.63         | 3.44*        | 3.78*        | 3.65         |
| Romania . . . . .       | 2.70*         | 2.78*        | 1.31*        | 2.14*        | 1.31*        |
| Imports (a) . . . . .   | 6.55*         | 7.03*        | 8.25         | 6.18         | 6.84         |
| Exports (a) . . . . .   | .65*          | .64*         | .50          | .72          | .58          |
| Crushings . . . . .     | 26.21*        | 26.03*       | 25.07        | 25.52        | 24.15        |
| Other use . . . . .     | .55*          | .53*         | .48          | .46          | .70          |
| Ending stocks . . .     | 1.37*         | 1.35*        | 1.01         | 1.63         | 1.99         |

### RAPESEED & CANOLA : World Supply & Demand

| (Mn T)                     | 26/27F        | 25/26         | 24/25        | 23/24        |
|----------------------------|---------------|---------------|--------------|--------------|
| <b>Open'g stocks . .</b>   | <b>13.13*</b> | <b>12.56</b>  | <b>15.46</b> | <b>16.24</b> |
| <b>Production . . . .</b>  | <b>86.08*</b> | <b>85.76*</b> | <b>76.47</b> | <b>80.39</b> |
| EU-27 . . . . .            | 20.88*        | 20.51         | 17.19        | 20.16        |
| Russia . . . . .           | 5.70*         | 5.57          | 4.65         | 4.20         |
| Ukraine . . . . .          | 3.37*         | 3.27*         | 3.70*        | 4.63*        |
| Canada . . . . .           | 21.50*        | 21.80         | 19.40*       | 19.70*       |
| U.S.A. . . . .             | 2.20*         | 2.13          | 2.21         | 1.91         |
| China . . . . .            | 6.90*         | 6.80*         | 6.20*        | 6.50*        |
| India . . . . .            | 11.50*        | 11.60*        | 11.20*       | 11.20*       |
| Australia . . . . .        | 6.90*         | 7.68          | 6.67*        | 6.57*        |
| <b>Total supplies</b>      | <b>99.21*</b> | <b>98.32*</b> | <b>91.93</b> | <b>96.63</b> |
| <b>Crush (July/June)</b>   | <b>83.40*</b> | <b>80.81*</b> | <b>77.84</b> | <b>77.74</b> |
| <b>Other use . . . . .</b> | <b>3.35*</b>  | <b>3.24*</b>  | <b>2.50</b>  | <b>2.68</b>  |
| <b>End'g stocks . . .</b>  | <b>12.90*</b> | <b>13.13*</b> | <b>12.56</b> | <b>15.46</b> |
| EU-27 (Jun 30)             | 1.37*         | 1.35*         | 1.01         | 1.63         |
| Canada (July31)            | 2.10*         | 2.20*         | 1.60         | 3.42*        |
| <b>Stocks/usage</b>        | <b>14.9%</b>  | <b>15.6%</b>  | <b>15.6%</b> | <b>19.2%</b> |
| <b>Exp - Imp . . . . .</b> | <b>-.45*</b>  | <b>1.14*</b>  | <b>-.97</b>  | <b>.75</b>   |

Soaring domestic requirements and a resumption of Chinese purchases of Canadian canola will reduce EU imports from Canada. In our current analysis we tentatively peg them at 0.4-0.5 Mn T compared to 1.7 Mn T shaping up in July/June 2025/26. The discount of new-crop Canadian canola vis-a-vis EU rapeseed (both Nov position) hovered around US-\$ 50-60 in early June, too low to generate any export sales. This will require EU imports of at least 3.3-3.4 Mn T from Australia in 2026/27 (up 0.5 Mn T from a year earlier), making Australian weather conditions in coming months a key factor to watch.

### CANADA : Supply & Demand of Canola ( Mn T )

|                      | August / July |        |        |        |       |
|----------------------|---------------|--------|--------|--------|-------|
|                      | 26/27F        | 25/26  | 24/25  | 23/24  | 22/23 |
| Op. stocks . . . . . | 2.20*         | 1.60   | 3.42*  | 1.86   | 1.48  |
| Output . . . . .     | 21.50*        | 21.80  | 19.40* | 19.70* | 18.85 |
| Imports . . . . .    | .13*          | .12*   | .13    | .28    | .15   |
| Exports . . . . .    | 7.30*         | 8.35*  | 9.38   | 6.73   | 7.95  |
| Crushings . . . . .  | 13.80*        | 12.30* | 11.41  | 11.03  | 9.96  |
| Other use . . . . .  | .63*          | .67*   | .56*   | .65*   | .71   |
| End.stocks . . . . . | 2.10*         | 2.20*  | 1.60   | 3.42*  | 1.86  |

## 17 OILS & FATS

### Veg. Oil Markets Will Be Torn Between Booming Demand from Biofuel Sector and Supply Woes

*Demand-rationing will be necessary in the food sector and probably also in energy markets. Seed oils struggling to offset looming shortage of palm oil at least partly.*

Already in the season 2025/26 the booming demand for vegetable oils in some major biofuel producing countries is becoming increasingly difficult to satisfy, resulting in partly substantial price increases in recent months. This development is probably giving a foretaste of what may unfold in 2026/27.

Rising biofuel targets will continue to boost feedstock requirements next season, primarily in the USA and Indonesia. The fuel shortages created by the Iran war have raised the appeal of biodiesel production, mainly in Southeast Asia. Whether and at what point the presumably tightening world supplies of vegetable oils and animal fats will trigger a partial downward adjustment of biodiesel production targets will be a key swing factor to watch. But before the biofuel market reacts, the necessary adjustment of oils and fats consumption to the insufficient supplies will take place in the food sector, hitting primarily consumers in developing countries and emerging markets.

The biggest risk factor for the oils and fats market is seen in the magnitude of the shortage in production and even more so in exports of palm oil (see below). Major relief will come from the expected sharp increase of sunflower oil production, given that weather conditions in the key growing areas are largely favourable until harvesting is complete.

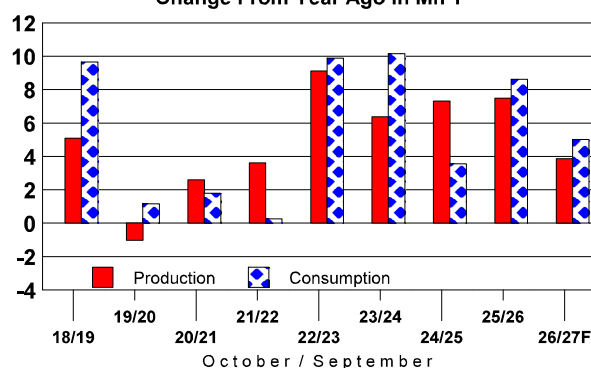
Nevertheless, the currently expected supply deficit in palm oil can be compensated only partly by seed oils, even under the assumption of relatively large increases in oilseed processing.

Based on our current crop and crush estimates, world production of 17 oils & fats is forecast to increase by only 3.9 Mn T or 1.4% in Oct/Sept 2026/27. This compares to 7.5 Mn T or 2.8% estimated for this season and represents the smallest increase in at least five years.

Stocks of 17 oils and fats are expected to be only 0.3 Mn T higher than a year ago at the start of next season in early October, thus providing little cushion against the expected slowdown of the production growth.

#### 17 OILS & FATS: Production & Use

Change From Year Ago in Mn T



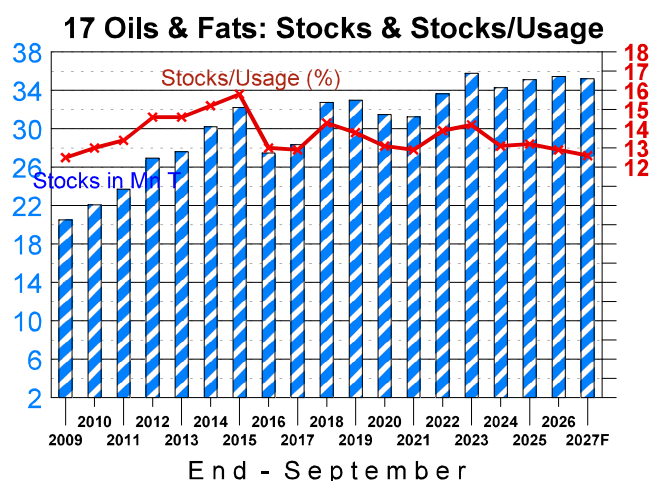
Following surpluses for two years in a row, a global production deficit is likely to develop next season, which requires demand rationing. The consumption growth is seen slowing down from 8.6 Mn T shaping up this season to around 5.0 Mn T in 2026/27. The bulk of the increase is likely to occur in the USA and Indonesia, driven by increasing production of biofuel. The growth of vegetable oil consumption in China and India has already levelled off in recent years and the increments in capita consumption in both countries will probably continue to be only marginal in the foreseeable future. While the prospective high prices will dampen food and non-food consumption of oils and fats in China, India and other countries, the shortage of cooking gas resulting from the Iran war, which has curbed vegetable oil consumption additionally in India and elsewhere, should ease soon.

The global trade volume of oils and fats may increase only marginally in 2026/27. The prospective boost in exports of sunflower oil will probably be more than offset by the strong setback of palm oil shipments. This will raise the dependence on processing of domestic and imported oilseeds in importing countries.

The assumptions on production and demand outlined above will require a reduction of global stocks of oils and fats by 0.2 Mn T next season. In case of lower production and higher demand than currently assumed, which cannot be precluded, a correspondingly bigger reduction of stocks will become necessary. In the scenario outlined in this volume the stocks/usage ratio is seen falling further to only 12.6%, the lowest level in more than 15 years.

#### 17 OILS & FATS : World Supply & Demand ( Mn T )

|                              | Forecast       | October / September |               |               |               |
|------------------------------|----------------|---------------------|---------------|---------------|---------------|
|                              | 26/27F         | 25/26               | 24/25         | 23/24         | 22/23         |
| Op'g stocks . . . . .        | 35.43*         | 35.12*              | 34.29         | 35.76         | 33.62         |
| <b>Production . . . . .</b>  | <b>279.32*</b> | <b>275.46*</b>      | <b>267.98</b> | <b>260.67</b> | <b>254.30</b> |
| Annual change                | +1.4%          | +2.8%               | +2.8%         | +2.5%         | +3.7%         |
| Imports . . . . .            | 102.25*        | 101.56*             | 99.48         | 98.00         | 99.57         |
| Exports . . . . .            | 102.26*        | 102.18*             | 100.71        | 97.79         | 99.52         |
| <b>Consumption . . . . .</b> | <b>279.54*</b> | <b>274.53*</b>      | <b>265.92</b> | <b>262.35</b> | <b>252.20</b> |
| Annual change                | +1.8%          | +3.2%               | +1.4%         | +4.0%         | +4.1%         |
| End'g stocks . . . . .       | 35.20*         | 35.43*              | 35.12         | 34.29         | 35.76         |
| Stocks/usage . . . . .       | 12.6%          | 12.9%               | 13.2%         | 13.1%         | 14.2%         |



## PALM OIL

World export supplies of palm oil will decline sizably next season. The extent of the decline is still uncertain, but it could be significant. We see, above all, the following five factors which will curb and most likely reduce world production and export supplies of palm oil in Oct/Sept 2026/27:

1) There is a high probability of dryness in Southeast Asia in July/Dec 2026 and probably also in early 2027. El Niño conditions have already been established with a high probability that the climate phenomenon becomes severe, according to several weather models. The weather uncertainty is greater than usual. If dryness prevails in Aug/Dec 2026 and early 2027, it would result in production losses with time lags of 10-12 months in the case of palm oil and 14-15 months in the case of coconut trees, but the price impact could already start earlier.

2) The interference of the Indonesian government in the palm oil sector will, most likely, curb production and reduce the country's export supplies, though with various time lags. There are still many uncertainties.

The interference started in September and October 2025 and continued in 2026. At least 1.5-2.0 Mn ha of land, allegedly illegally planted with oil palms, have already been seized by the Indonesian government from plantation companies and smallholders, and additional areas are reportedly under investigation. In some cases the land is placed back under the control of the management on the condition of revenue sharing. Impacts are manifold: Investments are being reduced, like e.g. new planting and replanting activities. Also application of fertilizer and other inputs have been reduced as a cost-cutting measure. The government

has announced to tightly monitor exports and prices of palm oil. There is concern among market participants that the government will regulate exports and curb them in periods in which domestic prices are considered too high.

3) Also in Malaysia and other countries, fertilizer application has been reduced in the oil palm sector in response to the substantial price increases since March 2026 after the Strait of Hormuz was closed due to the war of the USA and Israel with Iran. These fertilizer reductions occurred mainly among the smallholders. This will reduce the productivity of oil palms and will be reflected in production losses in 2027.

4) The expansion of the mature oil palm area has slowed down considerably in Malaysia and Indonesia in recent years. Replanting of old and unproductive oil palms was apparently relatively small in the recent past, partly due to the prevailing high prices of palm oil and, in Indonesia, partly due to the uncertainty related to additional government interference.

5) Biodiesel production is increasing in many palm oil producing countries, with the biggest increase in Indonesia, followed by Thailand and Malaysia. Indonesia will reportedly stop imports of diesel with effect of July 1 and raise the biodiesel admixture mandate to 50%. We have raised our estimate on Indonesian biodiesel production to 15.0 Mn T in calendar year 2026, up 1.5 Mn T from last year, with most of the increase from July onward. More than 50% of the Indonesian palm oil production will thus be absorbed domestically from July onward, mainly as a feedstock for biodiesel, but also for the food market and the oleochemical industry. Biodiesel production will also rise in Malaysia and Thailand. With world production projected to decline, rising domestic palm oil requirements will inevitably result in a reduction of palm oil exports.

We forecast world production of palm oil to decline by 1.6 Mn T in calendar year 2027 to 83.6 Mn T, a 3-year low and compared to 85.2 and 85.4 Mn T in Jan/Dec 2026 and 2025. This is a tentative estimate and assumes lower yields in Southeast Asia, materializing with a time lag, as a result of fertilizer reductions and El Niño-caused rainfall deficits.

Indonesian production of crude palm oil is estimated at a 3-year low of 47.6 Mn T in calendar year 2027, down from 49.2 and 49.7 Mn T one and two years earlier. The forecast average yield of 3.15 T/ha is 5% below 2026 and 8% below the estimated yield achieved in 2025.

### PALM OIL : World Production ( Mn T ), Yields ( T/ha ) and Mature Area ( Mn ha )

|              | Production    |               |              |              |              | Yields       |              |             |             | Mature Area   |               |              |              |
|--------------|---------------|---------------|--------------|--------------|--------------|--------------|--------------|-------------|-------------|---------------|---------------|--------------|--------------|
|              | 2027F         | 2026F         | 2025         | 2024         | 2023         | 2027F        | 2026F        | 2025        | 2024        | 2027F         | 2026F         | 2025         | 2024         |
| Indonesia    | 47.60*        | 49.20*        | 49.70*       | 46.03*       | 48.53*       | 3.15*        | 3.33*        | 3.42*       | 3.21*       | 15.10*        | 14.76*        | 14.54*       | 14.32*       |
| Malaysia     | 19.60*        | 19.90*        | 20.28        | 19.34        | 18.55        | 3.90*        | 3.96*        | 4.02*       | 3.79*       | 5.02*         | 5.03*         | 5.05*        | 5.10*        |
| Thailand     | 3.80*         | 3.90*         | 3.85         | 3.27         | 3.32         | 3.22*        | 3.39*        | 3.44*       | 3.23        | 1.18*         | 1.15*         | 1.12*        | 1.01*        |
| C&S Amer     | 6.53*         | 6.33*         | 5.80         | 5.40         | 5.99         | 3.36*        | 3.36*        | 3.16        | 3.04        | 1.94*         | 1.88*         | 1.83         | 1.78         |
| Africa (a)   | 4.11*         | 3.95*         | 3.86         | 3.79         | 3.62         | 1.97*        | 1.94*        | 1.94        | 1.97        | 2.08*         | 2.03*         | 1.98         | 1.93         |
| Oth ctrs.    | 1.94*         | 1.93*         | 1.88         | 1.73         | 1.77         | 2.05*        | 2.10*        | 2.10        | 1.99        | .96*          | .92*          | .90          | .87          |
| <b>WORLD</b> | <b>83.58*</b> | <b>85.21*</b> | <b>85.37</b> | <b>79.56</b> | <b>81.78</b> | <b>3.18*</b> | <b>3.31*</b> | <b>3.36</b> | <b>3.18</b> | <b>26.28*</b> | <b>25.77*</b> | <b>25.42</b> | <b>25.01</b> |

(a) 12 countries.

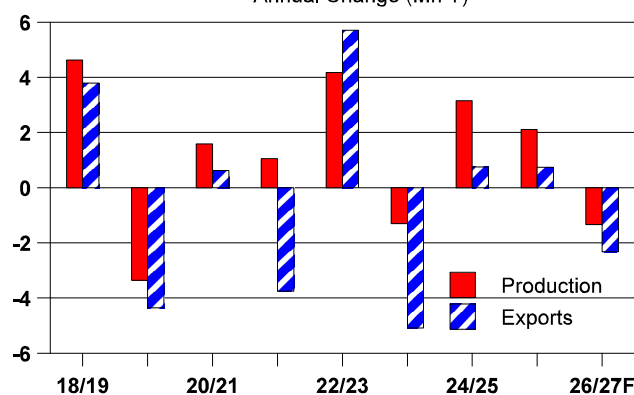
For Malaysia we expect a moderate decline to 19.6 Mn T in 2027 from 19.9 this year and the record 20.3 Mn T in Jan/Dec 2025. There are reports about labour shortages now developing on some plantations following a more restrictive government policy in granting licences for foreign workers. If the labour issue becomes more critical, harvest delays and production losses would rise.

For Thailand and Papua New Guinea, we assume moderate production losses in 2027 as a result of prospective weather problems. But in the rest of the world there is a relatively high possibility, in our opinion, that palm oil production will rise in calendar year 2027. We currently expect crude palm oil production to reach 2.1 Mn T in Colombia, 1.0 Mn T in Guatemala, 900 Thd T in Brazil and 530 Thd T in Honduras. In 12 countries on the African continent we forecast palm oil production to rise by 0.2 Mn T on the year to 4.1 Mn T in calendar year 2027 from a mature area of 2.08 Mn ha.

There is the risk of a sharper decline in palm oil production in calendar year 2027 in case of a severe drought in July/Dec 2026. The last very strong El Niño occurred in 2015/16 and brought drought to oil palm producing regions in Southeast Asia. It resulted in a significant decline in world production of palm oil to 60.0 Mn T in calendar year 2016 (compared to 63.1 Mn T in 2015) from a mature area of 18.8 Mn ha (17.7 Mn in 2015), which implied a decline of the average yield worldwide to 3.2 T/ha, down 11% from the preceding 5-year average.

On the world market, palm oil supplies will tighten in Oct/Sept 2026/27. With a growing share of supplies consumed in the producing countries and production anticipated to decline, we currently project world exports be reduced sharply to 47.5-48.0 Mn T next season. This will create tightness on the world market and enforce an import demand shift in favour of other vegetable oils, primarily soya oil and sunflower oil. There could be an even steeper decline in world palm oil exports in case of severe drought caused by a possibly strong El Niño.

**PALM OIL: World Production & Exports**  
Annual Change (Mn T)



## SOYA OIL

Consumption of soya oil will continue to increase sharply primarily in the US biofuel sector in 2026/27, based on further rising biofuel obligations and the focus on North American feedstock. Price premiums relative to the world market will continue to curb US soya oil exports and probably turn the USA into a net importer

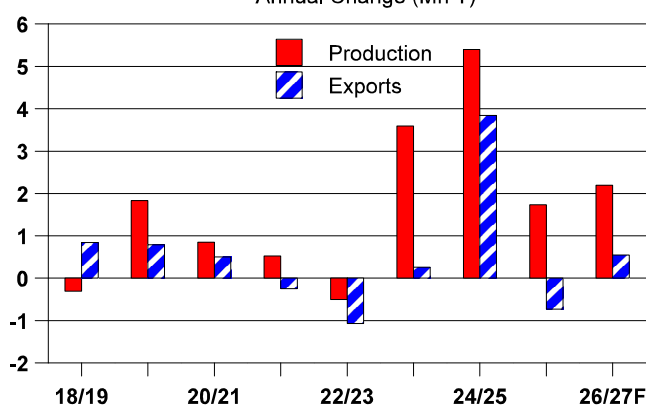
of soya oil next season. The oil yield of the US soybean crop will probably recover in 2026 from last year's low, raising soya oil output from the prospective further increase of US soybean crushings additionally.

Whether and when Brazil will resume the currently postponed further increase of biodiesel admixture is a variable to watch as it will have a significant impact on Brazilian and on global soya oil export supplies.

Demand for soya oil will grow on the world market next season to replace increasingly insufficient export supplies of palm oil. In contrast, there will be more intense competition for soya oil exporters from the prospective sharp increase of sunflower oil production.

Production of soya oil will probably continue to increase significantly in nontraditional exporting countries. While the bulk of soya oil exports will still come from South America, higher shipments are to be expected from China, Egypt, Iraq and other countries with relatively large soybean crush capacities.

**SOYA OIL: World Production & Exports**  
Annual Change (Mn T)



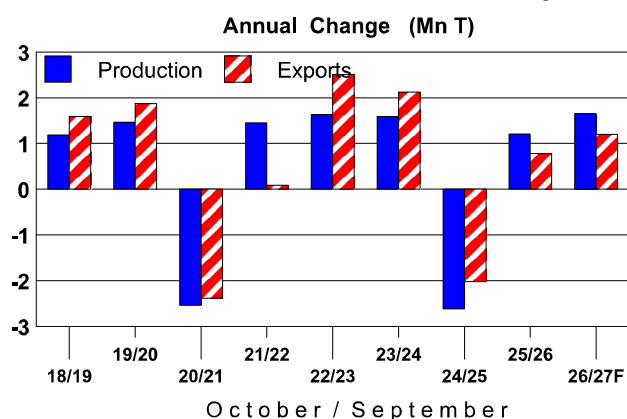
The prospective ample global soybean supplies and the further uptrend of soya oil demand are expected to keep the growth of world soya oil production elevated at 3% or 2.2 Mn T in Oct/Sept 2026/27, somewhat above the increase expected this season. In Argentina, both production and exports of soya oil are seen recovering in that period, based on our current crop and crush estimates.

Soya oil accounted for almost 50% of the total growth in world consumption of 17 oils and fats in the most recent three seasons and its share will again be large next season with the increase in world consumption estimated at 2.2 Mn T. However, at least half of the increase may again be on account of the USA, limiting soya oil use in the rest of the world.

## SUNFLOWER OIL

Prices of crude sunflower oil in Rotterdam for nearest forward shipment exceeded US-\$ 1500 in May and June 2026, the highest level in almost four years and implying large premiums of more than \$ 200 versus soya oil. In contrast, prices for delivery from Oct/Dec onward were recently quoted at least \$ 100 below this level. This illustrates the ongoing transition from tight old-crop supplies to prospects of ample global sunflower oil supplies available in 2026/27. If the current production forecasts materialize, sunflower oil prices will have additional downward potential.

## SUN OIL: World Production & Exports



Sizable price discounts versus the key competitors will then have to be reestablished to revive demand. However, the transition may be complicated by relatively low stocks of sunflower oil, primarily in importing countries, possible delays in harvesting and processing of this year's sunseed crops in the Black Sea region and the magnitude of pent-up demand.

World production of sunflower oil is tentatively forecast to increase by 1.7 Mn T or 7% to a record 23.9 Mn T in Oct/Sept 2026/27. We expect the increase to be mitigated somewhat by the reaction of farmers in the southern hemisphere, primarily in Argentina, to the large crops and price pressure currently developing in the northern hemisphere.

However, sunflower oil stocks at the start of the season 2026/27 will be sizably below previous highs, probably keeping global sunflower oil supplies roughly 1.0 Mn T below the record registered in the season 2023/24.

Under these assumptions, world exports of sunflower oil may increase by as much as 1.2 Mn T to 16.0 Mn T next season, thus approaching the record level registered three years earlier. In the season Oct/Sept 2023/24 world exports of sunflower oil increased by even 2.1 Mn T, which was probably only possible owing to the development of price discounts versus palm oil on the world market to gain market share in India, China and other key importing countries. The competition between the major sunflower oil exporters Russia, Ukraine and Argentina is likely to intensify.

Consumption of sunflower oil is expected to increase worldwide by 1.2 million to a 3-year high of 23.3 Mn T in the season 2026/27. There is some scope for even larger consumption if either demand turns out above or supplies of competing vegetable oils below the expected levels. This buffer is currently incorporated in the prospective increase of global sunflower oil stocks by 0.5 Mn T in the course of next season.

## RAPSEED OIL

Record supplies of rapeseed & canola as well as soaring vegetable prices and the corresponding appreciation of the oil share of the combined product value are seen raising world crushings to a new high of 83.7 Mn T in Oct/Sept 2026/27, up 2.2 Mn T from this season for which a boost of 3.3 Mn T shaping up.

Most of the increase is expected to occur in Canada, for which we tentatively forecast canola crushings to reach 13.8 Mn T in Oct/Sept 2026/27, up 1.5-1.6 Mn T

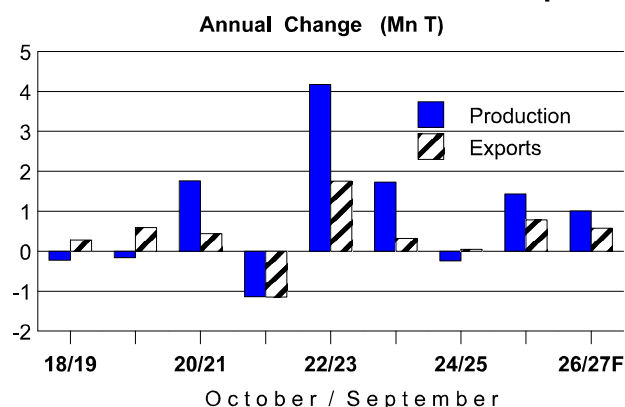
from a year earlier, raising domestic production of canola oil and meal correspondingly.

**World production of rapeseed oil** is estimated to reach a record 34.2 Mn T in 2026/27, up 1.0 Mn T from a year earlier. This compares to only 25.5 Mn T produced in 2019/20, implying an average annual increase of 1.3 Mn T in the past six seasons. Apart from Canada (up 0.6-0.7 Mn T from a year earlier), we expect Chinese rapeseed oil output to increase by 0.3 Mn T next season, mainly reflecting the resumption of purchases and processing of Canadian canola. However, at an estimated 4.2 Mn T in Oct/Sept 2026/27, Chinese rapeseed oil output is still likely to fall short of 4.3-4.4 Mn T registered in the three years to 2024/25.

On the demand side, North America is likely to be the key growth market in 2026/27, driven by ambitious biofuel mandates in both Canada and the US. Following the final EPA announcement of the Renewable Fuel Standard (RFS) for 2026 and 2027, US vegetable oil prices already rallied to new highs in April and May. Eligibility of Canadian canola oil for both the RFS and the US tax credit (45Z) will keep US import demand and usage of Canadian canola oil elevated in coming. Total US usage of rapeseed oil is tentatively pegged at 4.4 Mn T in Oct/Sept 2026/27, raising the combined increase since 2024/25 to 0.9 Mn T or 26%.

Further increasing imports from Canada are likely to raise the share of the US of world imports of rapeseed oil to 42% in 2026/27, compared to 40% a year earlier and 38% in 2021/22.

## RAPSEED OIL: World Production & Exports



However, EU rapeseed oil usage is also expected to increase further next season. Rising domestic output and ongoing high rapeseed oil imports, assuming that the export duty on rapeseed will continue to promote crushings and product exports from Ukraine, are likely to raise EU rapeseed oil usage to a new high of 11.3 Mn T in Oct/Sept 2026/27, up 0.1 Mn T from a year earlier. In the 2025/26 marketing year, the EU has turned into a net importer of an estimated 0.2 Mn T of rapeseed oil, compared to net exports of roughly 0.3 Mn T in the three preceding seasons.

## PALMKERNEL OIL

A major downward adjustment occurred in palmkernel oil (PKO) prices in recent weeks. Quotations in Rotterdam fell to an average US-\$ 1874 during June 1-16, roughly 17% less than in April. This contrasted with firmness in palm oil, pressuring the price

ratio of PKO versus CPO in Rotterdam to a 2-year low of only 1.19 this month. PKO stocks in Malaysia have declined in recent months but are still relatively comfortable. However, the strongest bearish impact probably stemmed from recovering production and exports of coconut oil, the key competitor.

Looking ahead, supplies of palmkernel oil will be affected by the same factors outlined under PALM OIL, above all, less investment in Indonesia and significant weather risks. However, Indonesian exports of PKO will be curbed "only" by the prospective downtrend of production but will not be curtailed additionally by rising domestic biodiesel production, which reduces palm oil export supplies.

The effects of El Niño on rainfall in Southeast Asia will have strong repercussions on production and prices of palmkernel oil next season. Our current working estimate of a decline in global PKO output in the vicinity of 2% in Oct/Sept 2026/27 assumes only moderate losses from detrimental weather conditions until mid-2027. Production plunged by 5.5% during the last strong El Niño event in 2015/16. While the magnitude of production losses is still highly uncertain, it can probably be assumed that a shortage of PKO supplies will develop only in the course of 2027, meaning that a reversal of the currently bearish price trend still lies ahead.

We tentatively forecast world consumption of PKO to stagnate at 8.7 Mn T next season, assuming a reduction of stocks and a decline of the stocks/usage ratio to a multi-year low.

## COCONUT OIL

World production of coconut oil (CNO) is currently still increasing on the year, despite the recent dryness. In the Philippines, the key producing country, copra output is benefiting from ample rainfall in 2025/26. Increasing supplies are reflected in the ongoing downtrend of prices. In Rotterdam, CNO declined below US-\$/T 2000 in June 2026, 30% below the record level registered 12 months ago.

The phase of high yields will probably continue in coming months. However, it may end somewhat sooner than initially expected owing to the effects of the severe dryness that started in the Philippines in March 2026. It should be noted though that the major effect of the current drought on Philippine copra output will be felt only from mid-2027 onward, considering the usual time lag of approximately 15 months.

The season 2026/27 may thus be characterized by still rather ample supplies of coconut oil in the first half and the development of moderate to severe tightness in the second half. It will depend on the further effects of this year's El Niño on rainfall in Southeast Asia whether most of the shortage in coconut oil will develop only in July/Dec 2027. In view of these uncertainties, prices of coconut oil may bottom out already prior to the downturn of production, considering also the rather poor production prospects for the key competitor palmkernel oil.

Taken together, the diverging developments shaping up in the course of next season may result in a growth rate of global CNO production of at best 1% in Oct/Sept 2026/27, versus a sharp increase of 7% estimated this season.

However, the sizable increase in production is favouring a significant recovery of coconut oil stocks in the course of the season 2025/26. This may facilitate an increase of CNO consumption worldwide by 3–4% in Oct/Sept 2026/27, mainly in Oct/March, and also promoted by a partial shift of demand from palmkernel oil. This follows a downtrend of consumption for three years in a row.

## OLIVE OIL

There is a high possibility that world production of olive oil will rise sharply and establish a record level in 2026/27. Weather conditions have been largely favourable during March, April and May 2026 in the Mediterranean region, which stimulated olive trees during their flowering period. It is still very early with four months to go before olives start to be harvested in October 2026.

Our current global production estimate is 3.85 Mn T for 2026/27, up 0.4 Mn T from 2025/26 and above the most recent five-year average of 3.27 Mn T. Our forecast for next season includes 3.53 Mn T of pressed olive oil and 0.33 Mn T of edible and inedible pomace oils.

In Spain current expectations are for a record production. There has been above-normal rainfall this winter and early spring in most producing regions of Spain. Water reserves are currently very good which will facilitate irrigation during summer. Temperatures were favourable during most of May with very warm conditions arriving later than usual.

### OLIVE OIL: World Balance ( Pressed & Pomace Oils )

| ( Mn T )                        | October / September |              |             |             |             |
|---------------------------------|---------------------|--------------|-------------|-------------|-------------|
|                                 | 26/27F              | 25/26        | 24/25       | 23/24       | 22/23       |
| Opening stocks                  | .83*                | .84          | .60         | .77         | 1.08        |
| <b>Production</b> . . . . .     | <b>3.85*</b>        | <b>3.48*</b> | <b>3.60</b> | <b>2.73</b> | <b>2.81</b> |
| <i>thereof:</i> Spain . . . . . | 1.66*               | 1.42         | 1.54        | .96         | .77         |
| Other EU . . . . .              | .86*                | .74*         | .76         | .73         | .80         |
| Rest of world . . .             | 1.33*               | 1.33*        | 1.30        | 1.04        | 1.24        |
| <b>Total supplies</b> . . . .   | <b>4.68*</b>        | <b>4.32*</b> | <b>4.20</b> | <b>3.50</b> | <b>3.89</b> |
| Imports (b) . . . . .           | 1.50*               | 1.42*        | 1.36        | 1.24        | 1.22        |
| Exports (b) . . . . .           | 1.51*               | 1.43*        | 1.38        | 1.21        | 1.25        |
| <b>Disappearance(a)</b> . . .   | <b>3.74*</b>        | <b>3.49*</b> | <b>3.35</b> | <b>2.92</b> | <b>3.08</b> |
| <i>thereof:</i> EU-27 . . . . . | 1.74*               | 1.63*        | 1.57        | 1.31        | 1.39        |
| America . . . . .               | .70*                | .66*         | .63         | .58         | .59         |
| Rest of world . . .             | 1.30*               | 1.20*        | 1.15        | 1.03        | 1.10        |
| Ending stocks . . . . .         | .93*                | .83*         | .84         | .60         | .77         |

(a) Residual. (b) Intra-EU trade is excluded.

Olive oil prices are likely to come under pressure if current prospects of record production and increasing export supplies materialize. This will promote a further increase in consumption worldwide. We still expect an increase in stocks at the end of the 2026/27 season. Olive oil is enjoying increased attractiveness among consumers outside the Mediterranean area, with considerable growth in imports and consumption in 2025 in North America as well as in North Africa, the Near East, Brazil as well as in China, South Korea, Saudi Arabia and Australia. There is more demand growth potential in 2026/27, particularly if price premiums of olive oil vis-a-vis other edible oils narrow.

## 12 OILMEALS

### Diverging Fundamentals Are Seen Keeping Oilmeal Prices Under Pressure in 2026/27

*With demand growth in China slowing down, generating demand in non-traditional consuming countries will be the major challenge for the global oilmeal market next season*

In the previous two chapters we already outlined the looming setback in palm oil production, the further uptrend in world demand for oils & fats (primarily for biofuel) and the resulting further dependence on oilseed crushings next season.

Contrary to the looming global deficit in 17 oils & fats, we expect world soybean supplies to remain ample in 2026/27, on the assumption of about normal weather conditions in the major producing regions. Acreage shifts from less lucrative crops (mainly grains) have set the stage for a record soybean crop of 441 Mn T next season (vs. 429 Mn T in 2025/26), with the year-on-year increase of 12 Mn T equivalent to roughly 2.3 Mn T of soy oil.

However, solving a relatively large portion of the prospective vegetable oil supply shortage with soybeans will create a surplus of meal, considering the low oil content of only 19%. The required increase of the oil share of the combined product value to make crush economics work has already taken place. Calculated with nearby prices of soybeans, soy oil and meal on the CBOT it reached more than 55% in early June this year compared to only 43% in early Nov 2025. But it must be noted that current exceptionally high US soy crush margins are "inflated" by the sizeable premium of US soy oil prices vis-a-vis the world market.

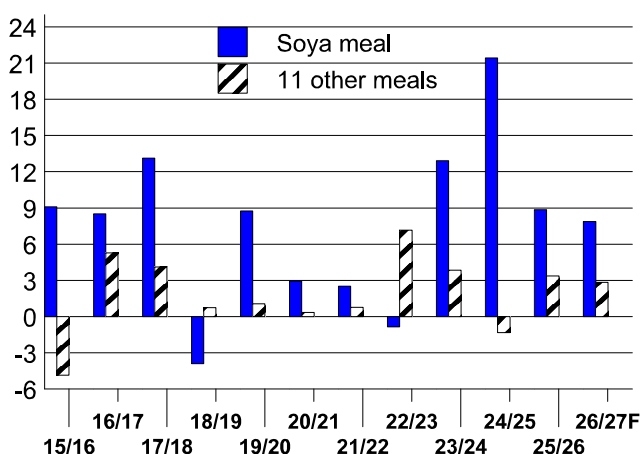
In addition, there is concern about sufficient processing and refining capacity to maintain the current growth rates in soybean processing also in the 2026/27 season and beyond.

World production of soy meal is seen approaching the 300 Mn T threshold in the Oct/Sept 2026/27 season, a new high and sharply above 249.5 Mn T produced five years ago. In our first tentative forecast, we expect the year-on-year increase to slow down to 7.9 Mn T, following growth rates of 8.9 Mn T, 21.4 Mn T and 12.9 Mn T in the preceding three seasons.

Last year, we questioned whether the setback in nearby Argentine soya meal prices to around US-\$ 300 in mid-June 2025 had already been sufficient to achieve the initially forecast increase in world demand for soya meal of 9.2 Mn T. Latest indications point to an increase in world soya meal usage of 8.9 Mn T in Oct/Sept 2025/26, thus pretty close to our forecast.

This year, nearby Argentine soya meal prices averaged \$ 340 in the first 15 days of June, up 11% from a year earlier and are, in our opinion, too high to achieve the required increase in world soya meal demand of an estimated 7.4 Mn T next season.

**12 OILMEALS : World Production**  
Change from Previous Season (in Mn T)



In addition, soaring energy costs since the start of the Iran war had a devastating effect on livestock margins in the past two months, viz. raising costs and reducing disposable incomes in price-sensitive markets (where we saw the biggest growth rates in meat consumption).

An above-average increase of 2.8 Mn T is also shaping up in world production of the 11 other oilmeals in 2026/27, compared to 3.4 Mn T a year earlier and a setback of 1.3 Mn T in 2024/25. Sizeable increases shaping up in sunflower meal (up 1.7 Mn T) and rapeseed meal (+1.3 Mn T) are likely to more than offset lower world production of palmkernel meal, cotton and groundnut meal next season. Details of our 2026/27 forecasts are provided in the statistical section.

**Weekly Prices of Soya Pellets (US-\$/T)**



Prices from July 2022 until 11 June 2026